Weekly Insights | Nov 20, 2025

Executive Summary

Corn – Post-*WASDE* Tone Holds Firm as Physical Markets Continue to Outperform Paper

Corn held a steady, firmer tone through the Dec 4–10 window as the market digested a *WASDE* that finally marked exports up to 3.2 bbu (+125 mbu) and trimmed ending stocks to 2.029 bbu. Even with carryout still above 2.0 bbu, the report confirmed what cash markets have been signaling for weeks. Export inspections for the week ending Dec 4 printed 1.45 MMT, keeping cumulative shipments sharply ahead of last year's pace and validating USDA's upward revision. Futures stayed contained, with Dec '25 trading $4.37–$4.41 and settling at $4.40 on Dec 10, while Mar '26 held near $4.47. The Dec '25–Mar '26 spread tightened to roughly –7¢, only about one-third of full commercial carry, underscoring the strength of nearby pull from exporters and ethanol plants. Basis remained firm, the national average around –42¢ vs March, Gulf CIF supported by improved barge drafts, and interior bids steady to higher across ethanol corridors. The front-end tightness continues to contrast with a still-comfortable balance sheet, leaving corn supported on breaks but capped by the growing weight of South American supply potential.

Wheat – Heavy Global Stocks Overshadow Steady U.S Execution

The December *WASDE* reinforced wheat's status as the heaviest balance sheet in the complex, leaving U.S ending stocks unchanged at 901 mbu while global stocks climbed to 274.9 MMT, the highest in five years. Futures stayed range-bound, with Chicago contracts holding in the low-$5.30s as exporters continued to find business despite aggressive Black Sea competition. FOB markets remained anchored by Russian pricing, while U.S SRW Gulf offers near $236.25/mt preserved modest demand into Latin America and Asia. With export inspections for the current week not yet published beyond Dec 4, cumulative shipments remain directionally ahead of last year and consistent with USDA's 900 mbu projection. Wheat remains a classic carry market, long on supply, but not weak enough in the physical channel to trigger a breakdown.

Soybeans – *WASDE* Holds Steady, but Market Trades Crush Strength and Chinese Activity

Soybeans spent the week recalibrating after a neutral *WASDE* that left ending stocks at 290 mbu, exports at 1.635 bbu, and crush unchanged at 2.55 bbu. Futures softened through Dec 10, with Jan trading below $11.00 as improving South American weather weighed on sentiment. Yet physical markets remained notably firmer: national basis stayed elevated, interior processors continued bidding aggressively, and CIF Gulf held firm despite slower inspection pace. USDA confirmed 462,000 MT in soybean sales to China on Dec 4, offering incremental support but not yet transforming the export trajectory. With volatility

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drifting into the high-teens and spreads easing modestly (Jan/Mar carrying around 11¢), soybeans remain caught between bullish domestic demand and a looming wave of Brazilian supply.

(Carry % calculated assuming 7% annual interest and \$0.05/bu per month storage/insurance cost over the spread interval.)

Macro / Policy – Neutral Backdrop as Crude Softens, Dollar Steadies, and Policy Tailwinds Emerge

Macro inputs were broadly steady, with the Dollar Index hovering near 100 and crude sliding below $60/bbl, weakening biofuel margins but easing river freight costs. The Brazilian real remained near 5.40 and the Argentine peso continued to weaken, sustaining strong selling incentives across both origins. Policy focus centered on China's tariff rollback, now the primary wildcard for cross-commodity demand into early 2026. While soybeans remain under MFN treatment, reduced tariffs on corn and wheat add forward optionality for U.S exporters at a time when global supplies remain heavy and trade flows sensitive to incremental shifts in relative pricing.

Weather – U.S Harvest Nears Completion as South American Patterns Reassert Market Influence

With U.S corn and soybean harvests essentially wrapped up, weather's influence shifted toward logistics and export flow. Rainfall across central and northern Brazil improved soil moisture and helped planting recover, while southern regions continued to face moisture stress that could shape early expectations for soybeans and downstream safrinha corn. Argentina maintained a constructive pattern with adequate moisture supporting early corn planting and wheat finishing. With *WASDE's* South American production assumptions already robust, any persistent dryness in southern Brazil, or a material deviation from normal precipitation patterns, will become a more active driver of spreads and narrative into late December.

What's Next (Dec 10 – Dec 17):

Confirmation of China's tariff-rollout follow-through and early booking behavior

Performance of Gulf basis as river logistics normalizes

Rainfall distribution across southern Brazil and implications for early-season risk premium

Ethanol production trajectory under softer crude

Russian FOB offers and global tender competitiveness

Inspection cadence as U.S harvest fully transitions into export execution mode

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	12/03/2025 Close	12/10/2025 Close	Change (Δ)	Δ%	5-day Realized Vol* (x)	Open Interest Δ (x)
Corn (Dec '25)	$4.33	$4.40	+$0.07	+1.62%	13% (ann.)	+2k (est.)
Soybeans (Jan '25)	$11.30	$10.91	-$0.39	-3.45%	18% (ann.)	+5k (est.)
Wheat (Dec '25)	$5.38	$5.30	-$0.08	-1.49%	13% (ann.)	+1k (est.)

5-day realized volatility estimated from daily settlement price changes.
Actual contract open interest changes are estimated; total corn OI rose slightly as new-crop hedges built, while wheat OI fell with Sep contract deliveries.

Table B – Key Calendar Spreads & % of Full Carry

Spread (Crop '25→'26)	12/03 Quote	12/10 Quote	Δ (carry)	% Full Carry*	Market Implication
Corn Dec–Mar	-$0.11	-$0.07	+0.04	30%	Nearby Gulf demand firming vs. interior harvest flow
Soy Jan–Mar	-$0.09	-$0.011	-0.02	50%	Crush pull holding January, export sales still Brazil-facing
Wheat Dec–Mar	-$0.12	$0.00	+0.12	0%	Heavier global stocks rewarding storage; no scarcity signal

Assumes 7% annual interest + $0.05/bu/month storage/insurance. Full carry (3 months) ≈ $0.22–$0.23 for corn & SRW wheat; (2 months) ≈ $0.22 for soybeans. % of full carry = (calendar spread ÷ calculated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Month)	12/03 USD Price	12/10 USD Price	Δ%	Notes
Dalian Corn (Jan)	¥2,169($6.50/bu)	¥2,169($6.50/bu)	+0.0%	Steady on local crop debate, limited directional momentum.
Dalian Soymeal (Jan)	¥3,048 ($89/mt)	¥3,048 ($89/mt	+0.0%	Meal futures firmed on tightening near-term supplies; domestic crushers slowed runs.
B3 (São Paulo) Corn (Nov)	R$68.10 ($12.93)	R$68.10 ($12.93)	+0.0%	Brazil domestic futures slightly firmer; improved Center-West rains offset by southern dryness.
Euronext Wheat (Dec)	€193 ($5.28/mt)	€190 ($5.20/mt)	-1.6%	Lower on rising EU stocks; bids at €189, offers at €194.75.

Corn Market Deep Dive

Post-*WASDE* Reaction & Balance Sheet: The December *WASDE* finally moved the corn balance sheet in the direction the physical market had been trading for weeks, and this time the adjustment was large enough to meaningfully shift market tone. USDA raised exports by 125 mbu to 3.2 bbu, the strongest acknowledgement yet of the exceptional early-season shipment pace and pulled ending stocks down to 2.029 bbu from 2.154 bbu. That 125 mbu export jump is not cosmetic: it marks USDA's recognition that inspections running 60–70 percent above last year are not a fluke but a structural feature of the first quarter.

Even so, the sheet remains comfortably supplied. A 2.0+ bbu carryout still places corn far from tight, and stocks-to-use near 13.8 percent reinforces that domestic users will not face scarcity barring a South American problem. The report tightened the narrative without flipping it, and that distinction matters: *WASDE* confirmed that demand is materially stronger than earlier assumptions but also made clear that the U.S remains well-supplied even after the adjustment.

Globally, USDA trimmed world stocks to 279 MMT, mostly on reduced Ukraine production. While this nudges the global balance tighter, world stocks-to-use remains adequate and does not introduce scarcity concerns. In short: *WASDE* validated the physical market's message, corrected the export line meaningfully, and narrowed the gap between paper and reality, yet kept the broader supply outlook comfortably loose unless South American weather turns decisively negative.

Futures & Spreads: Futures traded that "tightening but not tight" message with a restrained bid rather than a breakout. March 2026 corn spent most of the week gravitating in a narrow band around the mid-$4.40s, ending modestly higher and near the top of the recent range as the post-*WASDE* bump added a bit of optimism to an otherwise range-bound market. Volatility stayed low, firmly in the low teens on an annualized basis, underscoring that the market is not pricing an imminent shock so much as a gentle grind higher on better demand. The more telling move came in structure: the nearby Dec–Mar spread tightened from –11¢ to roughly –7¢, only about one-third of full commercial carry. That is still a carry market, but a relatively tight one for corn. It signals commercials are comfortable taking delivery or owning corn nearby instead of demanding a full-carry discount to hold it, which lines up with how aggressively exporters and ethanol plants are pulling on the pipeline. Further out, the curve still carries (Mar–May around –11¢), so there is no sign of inversion or outright shortage, just a front end that feels much firmer than a 2+ bbu carryout would normally suggest.

Export Demand & Cash Basis: Export inspections for the week ending Dec 4 reached 1.45 MMT, keeping cumulative shipments well ahead of last year and broadly aligned with USDA's decision to raise exports to 3.2 bbu in December *WASDE*. The CIF Gulf remained well-supported, while interior processor and ethanol bids held firm against limited farmer selling. Ethanol production for the week ending December 5 averaged near 1.10 mbpd, in line with or slightly above typical early-December levels, consistent with late-year seasonal strength and helping sustain firm interior basis. National basis near –42¢ versus March futures reflect a market still pulling hard on nearby supply, even with carryout above 2.0 bbu. Until farmer movement increases or Brazil's offers break the global feed-grain arbitrage, the cash pipeline will continue to set the tone.

South America & Global Trade Context: South America remains the defining forward risk. Brazil's crop sits near 135 MMT, with strong early conditions in Mato Grosso and Goiás but persistent moisture concerns in Paraná and Rio Grande do Sul that could affect first-crop yields and delay safrinha planting. A late safrinha would push pollination deeper into the dry-risk window. Argentina, by contrast, is staging a strong rebound toward 55 MMT, with upside if current weather holds. Policy shifts, particularly potential devaluation or export-tax changes, remain a wildcard for flow timing. Brazilian FOB values near $5.20/bu keep the country the cheapest major origin into global feed markets and reinforce the sense that a large wave of supply could still arrive if weather cooperates.

So What? Corn enters mid-December balanced between a tight-feeling front end and a comfortable forward supply outlook. *WASDE* finally acknowledged the demand pulse, but the combination of a still-heavy U.S carryout and large South American potential caps rallies. At the same time, cash, spreads and ethanol demand continue to impose a meaningful floor under the board, leaving futures in a stable, range-bound structure biased firmer on dips. For end-users, that supports opportunistic nearby coverage; for producers, it argues for incremental sales on rallies ahead of South America confirming, or disproving, the surplus narrative.

Soybean Market Deep Dive

Post-WASDE Assessment: The December *WASDE* delivered a neutral-to-soft signal for soybeans, keeping the U.S balance sheet ending stocks untouched at 290 mbu despite several weeks of sluggish export performance. USDA left crush at a record 2.55 bbu and nudged global ending stocks higher to around 122.4 MMT, driven mainly by larger South American potential and leaving the global stocks-to-use ratio squarely in adequate, not tight territory even as nearby physical indicators remain firm. For a market that came into the report with funds holding their largest net long since April, roughly 120k contracts, expecting USDA to validate tightening through lower exports or a stronger domestic-use signal, the lack of adjustment forced an immediate repricing. The result was classic long liquidation: not a collapse, but a reset toward a world where today's firm pipeline coexists with the prospect of a large South American crop. In short, *WASDE* confirmed that nearby strength is real, but not yet strong enough for USDA to alter its forward balance-sheet assumptions.

Futures & Spreads: Futures responded with a softer, choppy tone as January beans slipped into the upper $10s after briefly testing the $11.40–$11.50 zone on optimism around Chinese buying and crush margins. The neutral *WASDE* and improving South American moisture flow capped that move and pushed futures back into the lower end of the recent range. The Jan–Mar spread eased from –7¢ to around –11¢ carry, still only about half of full commercial carry, signaling that front-end tightness remains but has relaxed slightly as late-November loadings and farmer movement worked through the system. Further out, the curve returns to more traditional carry consistent with a market expecting comfortable supplies once Brazilian harvest begins.

Cash & Basis: Cash markets continue to tell a tighter story than the board. CIF Gulf barges remain elevated at +75–80¢ over January, and processor bids across major Midwest hubs hold near +60–75¢ over, aligning with historically strong crush margins. National basis remains firm for this point in the season, underscoring that end-users still need coverage and are unwilling to relax bids even with a comfortable forward balance sheet. The Jan–Mar spread, while slightly softer post-WASDE, remains only half of full carry and matches the physical tightness observed across both export and crush corridors.

Funds & Positioning: Speculative positioning amplified volatility around the report. With no updated CFTC data, precise figures remain unclear, but funds carried a sizeable net long into *WASDE*, making the lack of a bullish adjustment especially impactful. The downward drift that followed fits a story of position cleanup rather than bearish conviction. With futures stabilizing and spreads still relatively firm, speculative influence has shifted from a tailwind to a neutral presence, leaving fundamentals, basis, spreads, and weather, to guide direction.

Crush Margins & Domestic Demand: Crush remains the dominant source of nearby soybean support. Record October NOPA crush at 227.7 mbu, and expectations for another near-record in November, confirm processors are running hard into year-end. USDA held crush at 2.55 bbu in *WASDE*, a number that many in the trade view as conservative given current margin structures. Soymeal continues to anchor crush economics thanks to strong feed demand, while soybean oil lags on softer energy markets and policy uncertainty, but still benefits from structural renewable diesel support. Every incremental rise in crush carries direct balance-sheet implications, which keeps processors bidding aggressively for nearby bushels even as futures soften.

Export Sales & Inspections: Weekly inspections beyond Dec 4 were not yet published, but the prior report confirmed steady but seasonally modest volumes. USDA recorded 462,000 MT of soybean sales to China on Dec 4 (4.9 million bushels), reflecting reserve-driven buying rather than improved crush margins. Cumulative shipments remain sharply below last year, and Brazil continues to dominate forward demand with more competitive FOB offers. With short-term volatility running in the high-teens and the Jan/Mar spread easing toward –11¢, the export side remains a drag even as crush and basis stay historically strong.

So What? Soybeans enter mid-December stuck between a firm nearby pipeline and a potentially heavy forward supply picture. *WASDE* validated neither a tightening U.S sheet nor an export-driven bullish shift, reinforcing a market that must balance record crush and historically strong basis against South America's large production potential and lagging U.S export pace. For now, crushers and cash strength keep the board supported near $11, but rallies above the mid-$11s require either sustained Chinese commercial buying or a meaningful deterioration in Brazil's southern weather. Until one of those emerges, the market is likely to continue trading a narrow, demand-supported but supply-capped range.

Wheat Market Deep Dive

Post-WASDE Assessment: The December *WASDE* reaffirmed wheat as the heaviest balance sheet among major row crops, but the weight remains overwhelmingly global rather than domestic. USDA left U.S ending stocks unchanged at 901 mbu, already a six-year high, and made no adjustments to production, use or exports. The bearish impulse came entirely from abroad: global ending stocks were raised to 274.9 MMT, the largest in five years, driven by record crops in Canada (40 MMT) and Argentina (24 MMT) along with incremental increases across the EU, Australia and Russia. The 7.5 MMT month-on-month expansion pushed the world further from any tightness narrative and reinforced that the surplus resides exactly where it matters most: export-oriented origins. For the U.S, the unchanged sheet underscored the same message as November, wheat is heavy, but the new burden is global, not domestic, and the market continues trading that distinction.

Futures & Spreads: Price action captured the *WASDE* tension: bearish global stocks met a U.S market reluctant to break lower. March SRW briefly dipped toward $5.30/bu after the report before stabilizing as buyers defended perceived value. The Dec–Mar SRW spread flattened to 0¢ carry, not because the front end tightened, but due to delivery mechanics as the December contract rolled off. Structurally, wheat still behaves like a classic carry market supported by abundant supply. The curve signals storage economics, not scarcity, and nothing in *WASDE* altered that posture.

Cash & Basis: Cash wheat continues to behave better than the *WASDE* tables alone suggest. Gulf SRW FOB values around $236.25/mt maintain moderate competitiveness, and steady demand from Latin America and Asia persists despite Russian offers pricing lower. Weekly inspection data beyond Dec 4 is not yet available, but cumulative shipments remain ahead of last year and consistent with USDA's 900 mbu projection. Interior basis is steady to slightly soft but shows no signs of stress, confirming that physical availability remains ample without weighing on spot bids.

Trade Flows: U.S wheat trade flows held steadier than the *WASDE* narrative would suggest. Weekly export inspections came in at 393,341 MT, keeping cumulative shipments about 20 percent ahead of last year's pace and firmly on track with USDA's 900 mbu projection. Despite facing deeply discounted Black Sea competition, Russian 12.5 percent FOB wheat holding in the low-$230s/mt and continuing to anchor global tender pricing, the U.S still secured consistent demand in Latin America, Africa, and quality-sensitive Asian markets. The combination of stable execution, resilient FOB values near $236/mt at the Gulf, and the absence of cancellations reinforced that U.S wheat is not being crowded out, but instead carving out reliable, incremental business even in a surplus-heavy world. It is not a bullish export program, but it is unquestionably stronger than the global stock backdrop implies, which helps explain the board's reluctance to break below the low-$5 range.

So What? Post-*WASDE* wheat remains a story of bearish paper vs. less-bearish physical reality. USDA confirmed world supplies are the largest in five years and growing in the most competitive export regions, cementing global surplus as the dominant narrative. Yet the U.S balance sheet did not worsen, basis remains stable, exports continue to outperform expectations, and Gulf SRW still finds demand despite cheaper Black Sea alternatives. The curve remains a classic carry structure, making wheat primarily a hedge-selling and storage-capture market. Upside requires disruption, either Black Sea flow issues or meaningful production losses in a major exporter. Absent that, sideways trade in the low-to-mid $5s remains the baseline, with U.S execution preventing a breakdown and global surplus capping rallies.

US Cash Market & Basis

Corn: Corn cash markets continued to outperform the board, with basis strength and logistics improvements reinforcing the same theme that has defined early December: the physical pipeline is tighter than the futures curve suggests. Weekly export inspections printed 1.45 MMT, extending the streak of strongly above-year-ago loadings and keeping cumulative shipments roughly 36 percent ahead of last year's pace. Gulf exporters remained active buyers as barge drafts on the Lower Mississippi improved, and CIF Gulf corn held firm to slightly stronger, supported by a consistent pull from both export channels and ethanol plants. Interior basis held steady across most processing and river corridors, with plants still running hard enough to keep a reliable bid under nearby bushels despite softness in crude oil. National basis remains described as "firm for early December," reflecting ongoing restraint from farmers who stored aggressively at harvest and limited new selling even as futures attempted to rebound.

Soybeans: Soybean cash signals remained the tightest of the three row crops. CIF barges held historically strong for harvest, firming around expectations tied to record domestic crush demand and a wave of Chinese buying that briefly lifted exporter urgency. Processor and river bids stayed firm, with crushers continuing to anchor the market thanks to exceptional margins implied by record October NOPA crush (227.65 mbu) and expectations for continued heavy throughput. Weekly inspections near 1.01 MMT remain well below year-ago levels, yet basis strength reflects the broader theme of front-end demand outstripping what the paper balance sheet implies. The narrowing of the Jan–Mar spread, from –14¢ to –7¢, has been mirrored almost one-for-one in physical behavior: a market where crushers and exporters will not relax their bids despite USDA's export cut.

Wheat: Wheat basis was softer than corn and soybeans but still showed resilience given the global surplus indicated by *WASDE*. Export inspections of 393.3k MT kept cumulative shipments in the high-teens percent above last year, reinforcing the steady execution that has supported SRW and HRW basis throughout Q4. Gulf and PNW FOB indications moved only modestly week-over-week even with Russian 12.5 percent wheat holding in the low-$230s/mt, a sign that U.S exporters are still finding demand in regional markets despite heavy Black Sea competition. Interior basis across the Southern Plains milling markets remains defensive but not collapsing, consistent with a curve that remains in carry but where exporters see no need to aggressively discount to clear supply.

International Cash & Trade Flows

Brazil: Brazil remained the dominant global supplier of both soybeans and corn, with export pace and FOB pricing continuing to shape U.S competitiveness. For soybeans, Gulf-to-China spreads remained pressured by strong Brazilian FOB offers, which stayed competitive into Asia and undercut U.S values despite firm U.S basis. Corn also remained firmly in Brazil's hands, with its FOB pricing into Southeast Asia still the cheapest origin and supported by ample internal supply and efficient freight. Central and northern soybean-planting regions progressed normally thanks to scattered rainfall, while parts of Rio Grande do Sul and Paraná continued to face moisture deficits that could introduce early-season risk premium. Export corridors at Santos and Paranaguá were reported as running smoothly, with no major congestion.

Argentina: Up-River FOB prices were steady to slightly lower, with corn near $205/MT and soymeal around $305/MT, both broadly in line with recent weeks. Local liquidity remained cautious as farmers slowed sales following the end of Argentina's export incentive window. Early corn and soybean establishment benefited from improved soil moisture, and wheat harvest conditions were largely normal. Argentina's broader weather backdrop remains more favorable than Brazil's southern regions, but currency pressure in parallel markets keeps farmer selling patterns uneven and export pricing slightly more volatile.

China: China remained firmly Brazil-centric in its import activity. While the U.S scored notable soybean business earlier in the period, approximately 800,000 tonnes linked to COFCO plus 792,000 tonnes confirmed in USDA daily sales, there were no additional flash sales reported during this week's window. U.S offers into China remained at a premium to Brazilian equivalents, limiting incremental demand. China's tariff rollback on U.S wheat and corn (soybeans unchanged under MFN) has not yet translated into visible buying shifts, though it remains a medium-term wildcard. Dalian markets reflected a cautious domestic tone: soymeal eased 1.7 percent, while corn held firm, still sitting well above import parity and offering limited incentive for replacement buying.

EU / Black Sea: Russian wheat continues to anchor global pricing, with 12.5 percent protein FOB values in the low-$230s/mt, cheap enough to cap global wheat upside and limit U.S competitiveness in major tenders. EU wheat moved only modestly, with Euronext Dec near €197.5/mt, keeping EU origin competitive but not aggressive enough to displace Russia in North African and Middle Eastern tenders. Black Sea competitiveness remains the structural headwind for U.S exporters, even as U.S shipments continue outperforming year-ago levels.

So What? The U.S cash markets continue to deliver a tighter message than the futures curve, especially in corn and soybeans where basis and export execution remain far stronger than the paper ending-stocks figures imply. Internationally, Brazil and Russia maintain pricing leadership, Brazil on corn and soybeans, Russia on wheat, limiting the U.S ability to gain traction in major import corridors. China's buying remains the swing variable in soybeans, while improving South American weather tempers frontline risk. Until FOB spreads narrow or Chinese buying meaningfully reaccelerates, U.S strength will remain anchored in domestic demand (crush, ethanol, river flows) rather than export arbitrage.

Key Fundamentals & Reports (Dec 4 – Dec 10)

Government Data & Reporting: USDA releases ran normally this week, giving the market a clean read on inspections and the December *WASDE*. Corn saw a sharp export increase to 3.2 bbu, soybeans were unchanged with a 290 mbu carryout and record crush, and wheat moved heavier globally with the largest world stocks in five years. Reporting clarity helped firm price interpretation, especially in soybeans where recent Chinese activity needed official confirmation. With no CFTC updates, traders again relied on spreads, basis and flow rather than speculative positioning. Crop Progress is effectively finished for corn and soybeans, shifting market focus fully to logistics and execution.

Crop Progress: Harvest is no longer driving price discovery. With corn and soybeans essentially wrapped up, the market now watches whether river systems, processors and export channels can continue absorbing supply at the pace suggested by strong basis behavior. In South America, early-season conditions remain the key input: central and northern Brazil improved on moisture, while southern states stayed patchy enough to preserve an early risk premium. Argentina maintained broadly favorable conditions, supporting global supply stability.

Export Inspections (USDA FGIS – week ending Dec 4): Export inspections for the week ending Dec 4 showed another week of solid corn movement at 1.45 MMT, keeping cumulative shipments well above last year and aligned with USDA's upward export revision in the December WASDE. Soybean inspections printed about 1.01 MMT, essentially steady week-over-week but still far behind last year's pace, reflecting continued dependence on intermittent Chinese reserve buying rather than broad-based commercial demand. Wheat inspections came in at roughly 393k MT, keeping cumulative shipments in the high-teens percent above last year and reinforcing the view that U.S wheat continues to execute respectably despite globally heavy stocks.

Export Sales: Chinese demand was quieter this week. Earlier COFCO purchases (≈800k tonnes) and USDA daily flashes totaling 792,000 tonnes had lifted sentiment earlier in the period, but no new sales were reported during the Dec 4–10 window. China continued favoring cheaper Brazilian coverage, keeping U.S exports reliant on sporadic reserve-driven buying rather than commercial crusher demand. Corn and wheat likewise showed no meaningful booking response to China's tariff rollback, which remains a medium-term rather than immediate catalyst for U.S demand.

Ethanol Production & Industrial Demand: Ethanol production held steady through the period, with weekly output near **1.10 mbpd**, consistent with typical early-December strength and helping sustain firm interior bids. Softer crude narrowed blending margins somewhat, but plants continued to pull hard on nearby bushels, reinforcing the tighter Dec–Mar spread and contributing to the front-end firmness visible across basis markets. Industrial use is not expanding, but it remains reliably strong enough to keep processors competitive for supply.

NOPA Crush & Soy Products: Crush remains a defining pillar of soybean support. October NOPA crush set a record at 227.65 mbu, and margins remain historically wide despite softer soybean oil. USDA held its full-year crush at 2.55 bbu, already conservative, which continues to validate strong processor bids and a front end tighter than the 290 mbu carryout implies. Soymeal remains the margin driver; oil remains weaker but still structurally supported by renewable diesel.

So What? With *WASDE* absorbed, the market traded physical signals over paper theory. Corn fundamentals firmed again on strong inspections and resilient basis, supporting a front end much tighter than the carryout implies. Soybeans balanced weak exports against record crush and recent Chinese buying, keeping nearby strength intact but forward risk capped by South America. Wheat continues to contend with heavy world stocks, yet steady U.S exports and stable FOB values prevent a breakdown. With no CFTC clarity and South American weather now critical, the next move will be driven by logistical performance and export cadence, not by the static balance sheets.

International Reports

Brazil: Brazil remained the anchor of global grain flows, with FOB Santos soybean offers still holding a competitive edge over the U.S Gulf and corn maintaining strong pricing into Asia. Planting progress continued to diverge, central and northern regions moved at a normal pace with supportive rainfall, while Rio Grande do Sul and Paraná faced intermittent dryness and patchy emergence, preserving early-season risk premium. Export corridors at Santos and Paranaguá operated smoothly with no congestion, and although no new CONAB updates were released, private analysts maintained a cautious tone toward southern yield potential. Brazil's combination of pricing strength and smooth logistics kept it firmly in control of export competitiveness.

Argentina: Argentina's balance remained steady as improved soil moisture supported early corn and soybean establishment and wheat filling progressed normally. Up-River FOB values were stable (corn near $205/MT, soymeal around $305/MT) and crushers continued drawing from inventories accumulated under earlier incentive programs. Farmer selling stayed cautious amid ongoing macro uncertainty and a weakening parallel peso, but export flows and crush operations remained consistent. Overall, Argentina stayed competitive but macro-sensitive, contributing steady volume without shifting global trade direction.

China: China's buying cooled sharply after the mid-month surge that included roughly 800,000 tonnes via COFCO and 792,000 tonnes in USDA daily flashes, with no new U.S purchases reported in this period. Importers continued favoring cheaper Brazilian offers, while domestic soymeal futures fell 1.7 percent on soft feed demand and weak crush margins. The earlier tariff adjustments on U.S corn and wheat did not spur immediate buying shifts, and cumulative U.S soybean inspections remained 42 percent below last year, reinforcing that recent activity was reserve-driven, not commercial. China remained a supportive but inconsistent buyer rather than a structural demand engine.

EU / Black Sea: Russian wheat maintained its role as the global price anchor, with 12.5% FOB offers steady in the low-$230s/MT, securing most regional tenders and keeping upside capped for U.S and EU wheat. Euronext futures saw only modest week-to-week movement as European internal supply remained comfortable and unpressured by import needs. Ukrainian corn and wheat continued flowing via Danube and Black Sea routes at competitive prices, adding to global availability. With logistics functioning smoothly, the Black Sea continued to dictate global pricing and maintain downward pressure on alternative origins.

Global: No major multilateral revisions were released, leaving markets to trade the ample global supply picture reaffirmed in the *WASDE*, particularly in wheat. Freight conditions, container availability, and shipping lanes remained stable, and the key forward risks centered on southern Brazil's rainfall pattern and China's willingness to extend soybean purchases beyond reserve-driven buying. Broadly, international trade continued to reflect abundant supply rather than scarcity.

So What?

Global grain markets remain defined by Brazil's dominance, China's selective and reserve-driven soybean buying, and Russia's competitive wheat pricing, all of which continue to limit U.S export momentum despite firm domestic basis and crush-driven strength. Argentina adds stability but remains exposed to macro pressures, while South American weather, particularly in southern Brazil, has emerged as the next catalyst for directional risk. With logistics fully functional and no major multilateral adjustments, the international landscape continues to price abundant supply rather than scarcity. Until China demonstrates sustained forward demand or Brazil's weather profile materially deteriorates, U.S spreads and basis will remain driven overwhelmingly by domestic demand rather than export arbitrage.

Weather & Crop Conditions

United States
U.S harvest was already 90 percent + complete entering the Dec 4–10 window, leaving weather secondary to logistics as the primary near-term driver. Early-week rainfall across the Ohio Valley and Mid-South improved barge drafts along the Lower Mississippi, helping normalize movement after recent low-water constraints and reinforcing the firm CIF tone in both corn and soybeans. Winter wheat establishment progressed unevenly across the Plains, scattered showers aided surface moisture in parts of Kansas and Oklahoma, but persistent dryness kept early HRW gains limited. Mild temperatures

allowed fieldwork to finish smoothly and minimized early-season stress. Near-term forecasts remain warm with incremental rainfall expected for the lower Mississippi basin, a constructive backdrop for barge logistics heading deeper into December.

Brazil
Weather remained split between north–central improvement and southern stress. Regular rainfall across Mato Grosso, Goiás and Matopiba supported soybean planting and early establishment, bringing progress closer to normal. In contrast, Paraná and Rio Grande do Sul continued to face intermittent dryness and uneven emergence, preserving a modest early-season risk premium for soybeans and downstream safrinha corn. The longer this southern dryness persists, the more the market will begin to reassess USDA's large-crop assumptions for both soybeans and second-crop corn, though for now the trade remains in monitoring mode rather than repricing. Logistically, Santos and Paranaguá continued to operate smoothly, allowing Brazil to maintain export leadership even as internal weather risk builds at the margin.

Argentina
Argentina extended its favorable early-season pattern. Improved soil moisture supported corn and soybean emergence, while wheat filled under mostly normal conditions. Periodic thunderstorms and moderate temperatures kept the moisture profile stable, keeping Argentina aligned with USDA's large-crop assumptions and acting as a stabilizing counterweight to Brazil's more uneven distribution.

Global
Northern Hemisphere winter wheat conditions remained broadly supportive, with Russia and Ukraine benefiting from adequate moisture and mild temperatures that aided emergence and early tillering. Europe also maintained a steady setup, with consistent precipitation across major producers and no early stress signals from France, Germany or Poland. Globally, weather continues to reinforce the looser wheat balance highlighted in *WASDE*.

So What?
With U.S harvest nearly complete, weather now influences markets mainly through logistics rather than field conditions, and improved river performance has materially supported basis and export flow. International focus centers on Brazil's rainfall divide, improving in the north but still uneven in southern states, while Argentina's favorable pattern steadies overall South American supply expectations. This week's weather narrative ultimately echoes the broader *WASDE* message: domestic fundamentals are being driven by physical flow, and forward risk hinges on whether southern Brazil's dryness persists into mid-December.

Synthesis & Outlook

The market spent the Dec 4–10 window trading a very different reality from what the December *WASDE* implied. USDA raised corn exports by 125 mbu to 3.2 bbu, cutting ending stocks to 2.029 bbu, left soybeans unchanged at 290 mbu, and confirmed that wheat sits on one of the heaviest global balance sheets in five years at 274.9 MMT. Yet across all three markets, futures reacted quietly while the physical pipeline continued to do most of the heavy lifting. Corn futures held a narrow band in the mid-$4.30s to mid-$4.40s (Dec '25 settlement: $4.40), with the Dec–Mar spread tightening to roughly –7¢, about one-third of full commercial carry, supported by firm basis and improving river logistics. Soybeans softened into the high-$10s as South American weather improved and USDA declined to adjust exports, but nearby structure remained steadier than the board would imply thanks to persistent processor strength. Wheat stabilized in the low-$5.30s despite record-large global stocks, supported by steady export execution and SRW Gulf values near $236/mt, which kept U.S wheat relevant in regional demand channels even as Black Sea competition remained aggressive.

Across all three markets, physical indicators outperformed the WASDE narrative. Corn inspections reached 1.45 MMT, maintaining a shipment pace roughly 70 percent above last year's levels and reinforcing a front end far firmer than the balance sheet alone implies. Soybean inspections of about 1.01 MMT highlighted the still-sluggish export program, though strong crush and firm basis remained supportive nearby. Wheat inspections of 393k mt kept cumulative shipments comfortably ahead of last year, preventing the heavier global supply backdrop from translating into deeper domestic weakness.

Internationally, South America and China continued to shape the forward tone. Brazil's rainfall pattern stayed uneven, improving across central and northern regions while southern states remained drier, preserving a modest weather premium in soybeans and keeping downstream implications alive for safrinha corn. Argentina maintained its constructive early-season trajectory, reinforcing USDA's large-crop assumptions and acting as a counterweight to Brazil's regional variability. China's tariff rollback reshaped sentiment in wheat and corn but has yet to translate into materially stronger U.S bookings, while soybean demand remains dominated by state-reserve activity rather than crusher-driven imports. In short, international signals offered support at the margin but stopped short of providing the sustained demand uplift needed to fundamentally shift the U.S balance sheets.

Bullish triggers: bullish triggers remain concentrated in the physical market. In corn, export strength, firm ethanol demand, and historically strong CIF basis continue to act as a floor under the board even as carryout remains comfortable. Soybeans maintain the cleanest near-term upside skew: record crush, strong basis, and a more supportive Chinese policy backdrop leave room for firmer trade if southern Brazil's dryness persists or if Chinese buying expands beyond reserve programs. Wheat retains a narrower bullish lane, most notably if Russian logistics falter or FOB offers rise further, but steady U.S export execution should continue to prevent a break below recent lows.

Bearish triggers: Bearish risks hinge on the global supply outlook and the degree to which South America fulfills its production potential. Any normalization of rainfall in southern Brazil would erode the mild weather premium now embedded in oilseeds, while a 178–180 MMT Brazilian soybean crop combined with Argentina's rebound would leave global stocks substantially heavier by late Q1. For soybeans, the largest vulnerability remains China: if reserve buying slows and commercial crushers continue favoring Brazilian offers, USDA's 290 mbu ending stocks could prove conservative. Wheat faces continued pressure from Russia's dominant export posture and record global inventories, limiting the durability of any recovery rallies.

Watchlist (Dec 11 – Dec 17):

Follow-through on China's tariff rollback and early booking behavior

Gulf basis performance as river logistics continue to normalize

Southern Brazil rainfall distribution and implications for soy/safrinha

Ethanol production trajectory as crude trades below $60/bbl

Russian FOB offers and competitiveness across Black Sea tenders

In summary: the week underscored the split between comfortable balance sheets and a physical pipeline that continues to run firmer than the board. Corn's front end held strong on export and ethanol pull, soybeans stayed supported nearby despite weaker futures, and wheat avoided further downside thanks to steady U.S execution. With South American weather now the main driver and Chinese demand still uneven, the next move hinges on logistics and rainfall rather than anything left in the *WASDE* tables.